

Amazon.com, Inc.

AWS's Fastest Growth in Three Years Outruns the \$200 Billion Sticker Shock: Overweight, Dec-27 PT \$265

AMZN, NasdaqGS

OVERWEIGHT

Price (11 Mar 2026): **\$212.65**
Price Target (Dec-27): **\$265.00**

INVESTMENT THESIS

We initiate coverage of Amazon at Overweight with a Dec-27 target of \$265, approximately 25% above the \$212.65 close of 11 March. The debate is not whether Amazon can grow, it is whether the market was right to erase roughly 12% of the share price in two sessions after the 4 February print, when a genuine beat and raise was buried under a capex number nobody had modeled. AWS revenue grew 24% in the fourth quarter, the fastest pace in thirteen quarters, on a backlog of \$244bn, up 40% year over year. Management's answer on capacity was approximately \$200bn of 2026 capex, about \$54bn above the roughly \$146bn Street consensus UBS cited on 6 February, and free cash flow fell 71% to \$11.2bn. That is a fair reaction to a very large, unmodeled number; we do not think it is the correct verdict on the two businesses generating it.

Retail is quietly doing its job: North America operating margin has moved from 4.2% (FY23) to 6.9% (FY25) and International, a loss two years ago, is now durably profitable. Advertising, the highest-margin line disclosed, grew 23% in the quarter and added over \$12bn of incremental revenue in 2025 alone. Set against that is a real cost: return on invested capital fell to 10.7% from 13.3% as the capital base outgrew current earnings, and CFO Brian Olsavsky called the AI capex "a headwind" on depreciation the company is working to offset with efficiency. We take him at his word; the retail and advertising evidence that the offset is working is stronger than the market credited in early February.

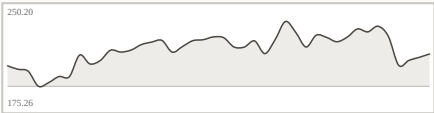
- AWS reaccelerated to 24% growth (fastest in 13 quarters) on a \$244bn backlog, up 40% YoY, even as the 2026 capex guide of ~\$200bn outran consensus by roughly \$54bn.
- Retail margins are moving the right direction: North America operating margin 6.9% in FY25 versus 4.2% in FY23; International turned durably profitable; advertising grew 23% to \$21.3bn in Q4.
- Free cash flow fell 71% to \$11.2bn and ROIC slipped to 10.7% from 13.3%; the stock already re-priced roughly 12% for that, which is most of the honest cost of admission.

Akul Veauli

Akul Veauli

Equity Research Analyst
akul.veauli@akulveauli.com
Akul Veauli Securities LLC

PRICE PERFORMANCE



Actual daily closes, 12 Mar 2025 to 11 Mar 2026, sampled to 42 points. Intraday 52-week range \$161.38-\$258.60 (3 Nov 2025 high, 7 Apr 2025 low); last close \$212.65.

COMPANY DATA

Shares O/S (mm)	~10,660
Market Cap (\$bn)	2,267
Enterprise Value (\$bn)	2,333
52-Week Range	\$161.38 - \$258.60
52-Week Price Change	+6.9%
Avg. Daily Volume (20d, mm)	53.0
Beta (5Y)	~1.45
Short Interest	-
P/E (TTM, GAAP)	29.7x
EV / EBITDA (TTM)	14.1x
EV / Sales (TTM)	3.25x
Return on Invested Capital	10.7%
Dividend Yield	None
Fiscal Year End	December

KEY METRICS / ESTIMATES

(\$bn, except EPS)	FY23A	FY24A	FY25A	FY26E
Net sales	574.8	638.0	716.9	-
% growth	12%	11%	12%	-
AWS revenue	90.8	107.6	128.7	-
Operating income	36.9	68.6	80.0	-
Op. margin	6.4%	10.8%	11.2%	-
Diluted EPS	\$2.90	\$5.53	\$7.17	-
P/E (@ \$212.65)	73.3x	38.5x	29.7x	-
Capex, gross (\$bn)	52.7	83.0	131.8	~200

FY23A/FY24A/FY25A per Amazon's Q4 2023, Q4 2024 and Q4 2025 earnings releases (SEC EDGAR Forms 8-K, filed 1 Feb 2024, 6 Feb 2025 and 6 Feb 2026). Amazon does not issue annual net sales, operating income or EPS guidance, only a next-quarter range each cycle, so FY26E is shown as "-" throughout except capex, where management guided to "about \$200 billion" across Amazon in 2026 on the 4 Feb 2026 call. We deliberately omit aggregator consensus for FY26E because no snapshot could be dated to on or before 12 Mar 2026 without risk of embedding information from quarters not yet reported at that date. Further sourcing detail is set out under Important Disclosures.

COMPANY OVERVIEW

Amazon operates three reportable segments. North America (\$426.3bn FY25 net sales, +10% YoY) and International (\$161.9bn, +13%) are the retail business, third-party seller services, Prime subscriptions and, embedded within both, advertising. AWS (\$128.7bn, +20%) is cloud infrastructure: compute, storage, database, analytics and machine learning, including the Trainium/Graviton custom silicon franchise, at a combined \$10bn-plus annualized run rate. Amazon issues no annual guidance, only a next-quarter net sales and operating income range, plus, this year, full-year capex.

Q4 2025 AND FY2025 RESULTS AND GUIDANCE

Amazon reported Q4 2025 results on 4 February 2026. Net sales of \$213.4bn grew 14% year over year (12% ex-currency), split North America \$127.1bn (+10%), International \$50.7bn (+17%, +11% ex-FX) and AWS \$35.6bn (+24%, the fastest AWS growth rate in thirteen quarters). GAAP operating income was \$25.0bn, up 18%, but absorbed \$2.44bn of special charges (a \$1.1bn Italy tax and lawsuit settlement, \$730mm severance, \$610mm impairments); adjusted operating income was \$27.4bn. North America operating income rose to \$11.5bn from \$9.3bn, AWS to \$12.5bn from \$10.6bn (35% margin), and International fell to \$1.04bn from \$1.3bn, entirely the special charges landing in that segment. Net income was \$21.2bn and diluted EPS \$1.95 versus \$1.86 a year earlier. Advertising revenue was \$21.3bn, up 23%, and Jassy said the business "added over \$12 billion of incremental revenue in 2025 alone."

Full year 2025 net sales were \$716.9bn (+12%), operating income \$80.0bn (+17%), net income \$77.7bn and diluted EPS \$7.17. Operating cash flow rose 20% to \$139.5bn, but property and equipment purchases reached \$131.8bn (net of proceeds, \$128.3bn), leaving free cash flow, on Amazon's own definition, of \$11.2bn against \$38.2bn in FY24, a 71% decline the company attributed directly to the capex increase.

Q1 2026 guidance called for net sales of \$173.5-178.5bn (+11% to +15% YoY) and operating income of \$16.5-21.5bn against \$18.4bn a year earlier, absorbing roughly \$1bn of Amazon Leo satellite costs and international quick-commerce investment. The number that actually moved the stock was capex. Jassy: "with such strong demand for our existing offerings and seminal opportunities like AI, chips, robotics, and low earth orbit satellites, we expect to invest about \$200 billion in capital expenditures across Amazon in 2026." UBS's same-week note pegged Street consensus at roughly \$146bn, an overage of about \$54bn. Shares fell from a \$238.62 close on 3 February to \$210.32 by 6 February, roughly 12% in two sessions, before stabilizing near \$205-220 through early March.

FINANCIAL SUMMARY

Amazon.com, Inc. -- Summary Financials

\$ in billions, except per-share data	FY23A	FY24A	FY25A	FY26E
Net sales	574.8	638.0	716.9	-
% growth YoY	12%	11%	12%	-
North America	352.8	387.5	426.3	-
International	131.2	142.9	161.9	-
AWS	90.8	107.6	128.7	-
Operating income	36.9	68.6	80.0	-
North America	14.9	25.0	29.6	-
North America margin	4.2%	6.5%	6.9%	-
International	(2.7)	3.8	4.7	-
International margin	(2.1%)	2.7%	2.9%	-
AWS	24.6	39.8	45.6	-
AWS margin	27.1%	37.0%	35.4%	-
Net income	30.4	59.2	77.7	-
Diluted EPS	\$2.90	\$5.53	\$7.17	-
P/E on diluted EPS (@ \$212.65)	73.3x	38.5x	29.7x	-
Operating cash flow	84.9	115.9	139.5	-
Capex, gross	52.7	83.0	131.8	~200
Free cash flow (company basis)	32.2	38.2	11.2	-

Return on invested capital: 8.2% (FY23), 13.3% (FY24), 10.7% (FY25). Memo: FY25 operating income includes \$2.44bn of Q4 special charges (Italy settlement, severance, impairments); adjusted FY25 operating income was approximately \$82.4bn.

Source: Amazon.com, Inc. Q4 2023, Q4 2024 and Q4 2025 earnings releases and accompanying segment data (SEC EDGAR Forms 8-K, filed 1 Feb 2024, 6 Feb 2025 and 6 Feb 2026); Akul Veauli Securities LLC. Free cash flow is Amazon's own trailing-twelve-month definition (operating cash flow less purchases of property and equipment, net of proceeds from sales and incentives), which differs from operating cash flow less gross capex shown on the line above by the amount of those proceeds (\$0.5bn in FY23, \$5.3bn in FY24, \$3.5bn in FY25). Return on invested capital is FMP's standard calculation (NOPAT / average invested capital). FY26E is "-" throughout because Amazon issues no annual guidance beyond the capex figure quoted, and no aggregator consensus snapshot could be dated to on or before 12 Mar 2026. Multiples computed on the \$212.65 close of 11 Mar 2026.

AWS, THE BACKLOG AND THE HYPERSCALER RACE

The single most important number in the print is 24%. AWS growth had been stuck in the high teens for most of 2025, and the Q4 acceleration to 24%, the fastest in thirteen quarters, is the first hard evidence the capacity Amazon has been building is converting into billed revenue rather than sitting idle. Jassy was explicit about the constraint: "every provider would tell you, including us, that we could actually grow faster if we had all the supply that we could take." The backlog supports that: \$244bn at quarter end, up 40% year over year and 22% sequentially, alongside custom silicon (Trainium and Graviton) crossing a \$10bn annualized run rate at triple-digit growth.

Against its two nearest peers, the picture is genuinely mixed. Microsoft's Azure grew 39% in its December quarter, and Google Cloud grew 48% in Q4 2025 on a \$17.7bn base at roughly a 30% margin; AWS is the slowest of the three hyperscalers on the two most recent comparable prints. The backlog comparison looks worse at the headline level: Microsoft's commercial RPO reached \$625bn, up 110% YoY, dwarfing AWS's \$244bn. An analyst who reads that at face value has a real case that Azure is out-executing AWS. Our answer: roughly 45% of Microsoft's RPO growth is attributed to a single counterparty (OpenAI), concentrating rather than diversifying its credit quality, whereas AWS's \$244bn is drawn from what management describes as a broad enterprise and AI-native base. A bigger number built on a narrower base is not obviously the safer asset.

AWS's 35% Q4 operating margin, down from 37.0% in FY24 but above Google Cloud's roughly 30%, is the segment's real advantage: Amazon monetizes cloud infrastructure more efficiently than its largest rival even while scaling AI capacity, and Olsavsky's framing (demand strong, capacity the binding constraint, margin defended through efficiency rather than price) is the correct posture for a business converting backlog into revenue.

THE CAPEX BILL AND THE RETAIL OFFSET

The bear case needs one paragraph, not a model. Capex jumped from \$83.0bn (FY24) to \$131.8bn (FY25) and is guided to approximately \$200bn in FY26, more than doubling in two years, above Google's own guided \$175-185bn and the largest single dollar commitment among the three hyperscalers. Depreciation is now a structural drag: Olsavsky called it "a headwind from the investments in AI and the depreciation on that CapEx," offset only by efficiency, not denied. Capex has run roughly double depreciation for two straight years (FY25 capex-to-depreciation of 2.0x), so that drag has years left to run regardless of what AWS revenue does next. Unlike Google or Microsoft, a meaningful share of Amazon's capital base also supports a structurally low-margin retail and logistics operation, which makes the payback math tighter, not looser.

What the capex story obscures is the segment doing the funding. North America and International margins are both improving (detailed in the thesis above) and advertising, capital-light and the highest-margin line disclosed, grew 23% in the quarter. We read a retail engine getting more profitable every year, plus an advertising line compounding faster than total revenue, as the reason a \$200bn AI bet is survivable rather than reckless, provided AWS's backlog keeps converting into revenue at anything like the 24% print.

VALUATION AND PRICE TARGET

Our \$265 Dec-27 target equal-weights three mechanical anchors. (1) Sum-of-the-parts, 33%: AWS revenue grown 24% (FY26E) then 22% (FY27E), below UBS's own 38% 2026 call, off the \$128.7bn FY25A base to \$194.7bn, at a 34% margin (versus 35.4% delivered, allowing for the depreciation drag) for FY27E AWS operating income of approximately \$66bn. Combined North America and International revenue grown at an 11% blended CAGR to \$724.8bn, margin lifted from 5.8% to 7.5% as the tape trend continues, for retail operating income of approximately \$54bn. Applying 24x EV/operating income to AWS and 18x to retail gives enterprise value of \$2,568bn; less \$66bn net debt, divided by approximately 10,660mm shares, this anchor outputs \$235.

(2) Dated Street price targets, 33%: the average of three specific, dated analyst actions published on or before 12 Mar 2026, all issued in direct response to the 4 February print: UBS \$301 (Buy, 6 Feb), Benchmark \$275 (Buy, 6 Feb) and Piper Sandler \$260 (early Feb), averaging \$278.67. (3) Held multiple, 33%: applying Amazon's own current 14.1x trailing EV/EBITDA, unchanged, to a projected FY27E EBITDA of approximately \$222bn (anchor 1's combined operating income of \$120.6bn plus D&A grown from \$65.8bn to roughly \$101bn on rising capex intensity) gives enterprise value of \$3,126bn and, after the same net debt and share count, an output of \$287. The three anchors average \$266.89, rounded down to \$265.

Implied total return is +24.6% against the \$212.65 close (no dividend), mapping to Overweight under our >15% Overweight / <0% Underweight thresholds. An honest sensitivity: an analyst who weights only the sum-of-the-parts anchor, the one most exposed to our own assumptions, lands at \$235 and a +10.5% return, which is Neutral. We hold the blend because the other two anchors require no segment forecast at all and both independently clear 15%. At target, AMZN trades at roughly 24.0x FY27E operating income and 13.0x FY27E EBITDA on the projections above, not aggressive for a backlog compounding at 40% and retail margins at multi-year highs.

UPSIDE RISKS

Developments that could drive the shares above our price target include, but are not limited to, the following:

- AWS backlog conversion outruns the capex. The \$244bn backlog is growing faster (40% YoY) than revenue; growth tracking toward UBS's 38% 2026 call rather than our 24% assumption moves the sum-of-the-parts anchor well above \$265.
- Custom silicon economics improve faster than modeled. Trainium and Graviton already run at a \$10bn-plus annualized rate at triple-digit growth; more AI workload shifting onto Amazon's own chips would expand AWS margin above our flat 34% assumption.
- Retail margin expansion continues past our estimate. North America has gained roughly 90-130bp of margin in each of the last two years; continuation pushes our 7.5% FY27E retail margin assumption higher.
- Advertising keeps compounding faster than total revenue. Q4 ad revenue grew 23% against 14% total net sales growth, a direct offset to AI depreciation.
- Capex intensity peaks and rolls over. The ~\$200bn 2026 guide is the number the market discounted hardest; any 2027 moderation restores free cash flow faster than our EBITDA anchor assumes.
- Sentiment is already washed out. Shares fell roughly 12% after the print and sit about 18% below the 3 Nov 2025 high of \$258.60; re-rating needs only confirmation the backlog is converting.

DOWNSIDE RISKS

Developments that could drive the shares below our price target include, but are not limited to, the following:

- The capex guide could still be conservative. Management raised 2026 capex guidance once already this cycle relative to Street expectations set only a quarter earlier; a further increase without a matching backlog re-acceleration would push free cash flow toward zero.
- Return on invested capital is already declining. ROIC fell from 13.3% in FY24 to 10.7% in FY25 as invested capital grew roughly 31% against slower earnings growth; a further two years of that trend before the AI investment cycle pays back would be a genuine capital-allocation failure, not merely a sentiment problem.
- AWS is the slowest-growing hyperscaler on the two most recent comparable prints. Azure grew 39% and Google Cloud 48% in their most recent quarters against AWS's 24%; if that gap persists rather than closes, AWS deserves a discount multiple to peers, not the 24x EV/operating income we assumed.
- Microsoft's \$625bn commercial RPO, up 110% YoY, is a larger and faster-growing backlog than AWS's \$244bn on a headline basis; if AI compute spend concentrates further with OpenAI-anchored Azure capacity, AWS's growth ceiling could be lower than the current print suggests.
- Depreciation is a multi-year, not a one-quarter, headwind. Capex has run roughly double depreciation for two straight years (FY25 capex-to-depreciation of 2.0x); D&A has years of built-in growth ahead of it regardless of what AWS revenue does next, mechanically pressuring GAAP operating income and EPS.
- International's improvement is partly an accounting artifact. The FY25 margin gain versus FY24 is flattered by the FY24 base not yet carrying the special charges booked in Q4 FY25; the underlying multi-year trend is real but smaller than the headline year-over-year comparison implies.
- Retail remains structurally lower-margin than the multiple assumes. Even at our projected 7.5% FY27E margin, North America and International together earn roughly a third the margin AWS does; if AI capex crowds out logistics investment, the retail margin trend could stall rather than continue.
- Special charges of \$2.44bn in a single quarter (Italy tax settlement, severance, asset impairments) are a reminder that "adjusted" operating income is doing real work in this story; GAAP operating income, the basis for our SOTP inputs, is the more conservative and more decision-relevant number.
- Valuation offers limited cushion if the AWS re-acceleration stalls. At 29.7x trailing GAAP EPS and 14.1x trailing EV/EBITDA, the shares are not priced for disappointment; a return to high-teens AWS growth without backlog support would compress the multiple before it compresses the estimates.

ANALYST CERTIFICATION

I, Akul Veauli, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject company and its securities. I also certify that no part of my compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this report. I am a real person and the sole author of this report. I am not a registered or certified research analyst: any "AC" analyst-certification mark previously shown next to my name was self-applied for layout purposes, is not a real credential, and has been removed. "Akul Veauli Securities LLC" is an invented firm name and is not a real or registered entity.

IMPORTANT DISCLOSURES

Estimate and market-data sourcing, continued from the cover page. P/E is computed on the \$212.65 close of 11 Mar 2026 against each year's reported diluted EPS. Beta is FMP's reported 5-year figure, not independently dated to 12 Mar 2026; short interest could not be sourced to a settlement date on or before 12 Mar 2026 and is shown as "-".

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Point-in-time basis: written as of 12 March 2026 using no information published after that date. The quoted price is the 11 March 2026 close of \$212.65; the 52-week range, volume and price change are measured to on or before that date. Amazon's Q1 2026 results and any later capex, AWS growth or backlog disclosures, including any revision to the ~\$200bn 2026 guide, are not reflected here.

Estimate sourcing: FY2023A-FY2025A figures are per Amazon's Q4 earnings releases (SEC EDGAR Forms 8-K). FY2026E is "-" throughout except capex (management's "about \$200 billion" guidance); Amazon issues no annual guidance, and aggregator consensus was not used because no snapshot could be dated to on or before 12 March 2026. The sum-of-the-parts anchor's FY2026E/FY2027E figures are this desk's own projections from stated assumptions applied to FY2025A actuals, not attributed to Amazon or consensus. AWS backlog, capex guidance and the Olsavsky quote are from the Q4 2025 call transcript (4 Feb 2026, per The Motley Fool). Azure/RPO figures are from Microsoft's fiscal Q2 2026 results (27 Jan 2026); Google Cloud figures from Alphabet's Q4 2025 release. ROIC is FMP's standard NOPAT/average-invested-capital calculation. The price chart uses actual daily closes sampled to forty-two points; it is not tick-accurate. Nothing here constitutes investment advice or a solicitation.

RATING DEFINITIONS

Overweight: total return expected to exceed the average total return of the analyst's coverage universe over the next 6-12 months. Neutral: total return expected to be broadly in line with that average. Underweight: total return expected to be below that average. For this note the rating was applied mechanically to the implied twelve-month total return from the derived price target: Overweight above +15%, Underweight below 0%, Neutral otherwise. AMZN's implied total return of +24.6% (price only; the company pays no dividend) maps to Overweight; the rating would flip to Neutral at any price target below \$244.55 (a +15.0% return). These are generic sell-side rating conventions, not a registered firm's published rating scale.

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